SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

APPLICABILITY

Except as otherwise provided herein, this schedule is applicable to bundled service, Community Choice Aggregators (CCA), and Direct Access (DA) customers who are served under a Time-of-Use (TOU) rate schedule, and who prior to December 31, 2023 (1) interconnect and operate in parallel with the Utility's electrical system using an Eligible Fuel Cell Electrical Generating Facility, as defined below (Special Condition 1a) pursuant to California Public Utilities Code Section 2827.10 (PU Code Section 2827.10), with a generating capacity no greater than 5,000 kW, located or adjacent to the customer's owned, leased or rented premises, is interconnected and operates in parallel with the Utility's grid while the grid is operational or is operated independently from the grid when the grid is not operational, and is sized to offset part or all of the customer's electrical requirements, (2) are the recipient of local, state, or federal funds, or who self-finance projects designed to encourage the development of Eligible Fuel Cell Electrical Generating Facilities, and (3) use technology achieves reductions in emissions of greenhouse gases (GHG) pursuant to PU Code Section 2827.10 subdivision (b) as established by the California Air Resources Board (ARB) and as regularly updated consistent with the statute (GHG Standards, except as provided under Special Condition 8 of this tariff, and meets the emission requirements for eligibility for funding set forth in subdivision (c), of section 379.6. Such a customer will be referred to hereafter as an "eligible fuel cell customer-generator" or "customer". Customers eligible for service under this schedule are exempt from any new or additional charges not included in their Otherwise Applicable Schedule (OAS). T

Pursuant to PU Code Section 2827.10, this schedule is offered on a first-come, first-serve basis for the operating life of the Eligible Fuel Cell Electrical Generating Facility, and once the Utility reaches a level equal to the MW level installed under this schedule as of January 1, 2017 plus its proportionate share of a statewide limitation of 500 megawatts as calculated by a ratio of the Utilities peak demand compared to the total statewide peak demand. This ratio is calculated to be 51.3 megawatts for the Utility. T T

Pursuant to Decision 08-02-002 and notwithstanding all applicable terms and conditions contained herein, to the extent a CCA offers a net energy metering tariff for fuel cell customer-generators, the Utility shall provide applicable NEM services under this schedule to an eligible CCA customer-generator consistent with services provided to its bundled service eligible customer-generators. As a condition of receiving service under this schedule, the CAA shall be responsible for timely providing the applicable generation-related bill charges or credits for each CCA customer-generator to the Utility. Each eligible CCA customer-generator shall look to its CCA for NEM services related to the electric generation charges and credits that result from receiving services under this schedule. The CCA shall also be responsible for the applicable generation-related bill credit structure associated with this service option and providing the CCA customer-generator with the applicable generation-related bill credit. If a CCA or DA customer elects NEM aggregation service, as defined below, all aggregated accounts must be served by the same CCA or by the same Electric Service Provider (ESP).

(Continued)

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

APPLICABILITY (continued)

Schedule NEM-FC applies to specified Net Energy Metering-eligible (NEM-eligible) generators in a Generating Facility comprised of multiple NEM and non-NEM eligible generators, served through the same Point of Common Coupling (PCC), where the NEM-eligible generating capacity is not more than 1 megawatt. Such facilities will be referred to as Multiple Tariff Facilities, and any group of generators within such a facility that is subject to the same tariff provisions for billing and metering purposes will be referred to as a Constituent Generator Group. In order to be eligible for this rate schedule in a Multiple Tariff Facility, the customer must meet all the requirements of Special Condition 7 for the Schedule NEM-FC generator, and must also meet any other applicable tariffs. Customer must also complete a Generating Facility Interconnection Agreement (Multiple Tariff) (Form 117-2160).

Pursuant to Decision 23-11-068 Fuel Cell Customer-Generators who received Permission to Operate on or after 1/1/2017 must comply with GHG emission requirements within this tariff, as outlined in Special Condition 10, in order to be eligible to continue service under this tariff. As part of this requirement, a fuel cell Customer-Generator must certify for the first time no later than 02/01/2025 that the fuel cell meets the GHG requirement and must recertify annually before the anniversary of their PTO date. These customers will be subject to an annual documentation fee. Please refer to Special Condition 10 for more detail on this new requirement. Due to CARB's anticipated review of the GHG emission standards, the February 1, 2025 deadline has been extended at the direction of the California Public Utilities Commission. The customer will have eight months to meet the requirements outlined in SC 10, following a final decision issued by CARB concerning updates to the Fuel Cell NEM Regulation. T T N N N

TERRITORY

The entire territory served.

RATES

Only the Generation Rate Component of the eligible fuel cell customer-generator's OAS, less generation surcharges (such as the DWR Bond Charge shown on Schedule DWR-BC) and the Wildfire Fund Non-Bypassable Charge shown on Schedule WF-NBC) or any successor rate schedule if any, shall be used in the calculation of credits when the eligible fuel cell customer-generator is a net energy producer, on a monthly basis, for any TOU period. Only the Generation Rate Component of the eligible fuel cell customer-generator's OAS, including all generation surcharges, if any, shall be used to calculate the charge for generation when the eligible fuel cell customer-generator is a net energy consumer on a monthly basis, for any TOU period. All other charges, including but not limited to, Transmission Charges, Distribution Charges, Public Goods Charges, Nuclear Decommissioning Charges, Monthly Basic Service Fees, Customer Charges, Minimum Charges, Demand Charges, and non-energy related charges shall be calculated according to the eligible fuel cell customer-generator's OAS prior to the netting of energy consumed and exported.

Pursuant to CPUC Decision 03-04-030, eligible fuel cell customer-generators shall not pay the departing load cost responsibility surcharge shown on Schedule CGDL-CRS.

Notwithstanding anything in Electric Rule 21 pursuant to PU Code Section 2827.10, the following interconnection inspection charges will be applied:

Non-aggregated arrangement = $225 flat fee;
Aggregated arrangement = $375 flat fee; and
Hourly ($150) for "non-certified" equipment

(Continued)

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

RATES (continued)

Customers eligible for service under this schedule are not required to take service under Schedule S (Standby Service) or Schedule S-I (Standby Service – Interruptible) for the qualifying generators. Eligible customers shall be permitted to take standby service for non-eligible generation on the same meter as the eligible generation.

The charges and credits for Multiple Tariff Facilities taking service on this rate schedule under the provisions of Special Condition 7 will be calculated using the OAS identified by the eligible fuel cell customer-generator in its application for interconnection and its interconnection agreement with SDG&E or as subsequently changed by the eligible fuel cell customer-generator in accordance with SDG&E's Electric Rule 12.

Customers with Multiple Tariff Facilities with existing NEM and/or NEM-FC eligible generators interconnecting additional generators, will receive a bill true-up, prior to taking service under Special Condition 7. This ensures that all NEM accounts have the same Relevant Period, as defined in Special Condition 1.d, going forward.

SDG&E rates and rate design, including the rates and rate design reflected in this Tariff, are subject to change from time to time. Customers should take this into consideration when making any long term decisions based on rate structures that are currently in place. N N N

SPECIAL CONDITIONS

1. Definitions: The definitions and terms used in this schedule are either found herein or in Rule 1, Rule 21, or the eligible fuel cell customer-generator's OAS.

   a. Eligible Fuel Cell Electrical Generating Facility: A Generating Facility used to produce electricity by a fuel cell, that meets all applicable safety and performance standards in accordance with the Utility's Electric Rule 21 and pursuant to PU Code Section 2827.10 includes 1) an integrated power plant systems containing a stack, tubular array, or other functionally similar configuration used to electrochemically convert fuel to electric energy; 2) an inverter and fuel processing system where necessary, and 3) other plant equipment, including heat recovery equipment necessary to support the plant's operation or it's energy conversion.

   b. Date of Final Interconnection: The date the Utility provides the eligible fuel cell customer-generator with the Utility's written approval to commence parallel operation of the Eligible Fuel Cell Electrical Generating Facility for purposes of participating in Schedule NEM-FC.

   c. Otherwise Applicable Schedule (OAS): The eligible fuel cell customer-generator's regularly filed rate schedule under which service is rendered.

   d. Relevant Period: Twelve monthly billing cycles commencing on the anniversary date of Final Interconnection or pursuant to Special Condition 4.b, or a portion thereof, in the event service under this tariff terminates.

   e. Eligible Metered Service Account: A TOU metered service account serving an Eligible Fuel Cell Electrical Generating Facility.

(Continued)

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

SPECIAL CONDITIONS (continued) L

1. Definitions: (continued)

   f. Annual Reconciliation: The Utility will total the monthly valued generation rate component of the energy (kWh) supplied by the Utility to the eligible fuel cell customer-generator and the monthly valued generation rate component of the energy (kWh) fed back to the Utility Distribution System by the eligible fuel cell customer-generator during the Relevant Period. If the total generation rate component value of all the energy supplied by the Utility is greater than the total Generation Rate Component fed back to the Utility Distribution System, then the eligible fuel cell customer-generator is a net consumer. Otherwise, the eligible fuel cell customer-generator is a net producer.

   For purposes of determining if the eligible fuel cell customer-generator was a net consumer or net producer during the Relevant Period, SDG&E will aggregate the electrical load of the meters located on the property where the eligible fuel cell electrical generation facility is located, and on all property adjacent or contiguous to the property on which the facility is located, if those properties are solely owned, leased, or rented by the eligible fuel cell customer generator. Each aggregated account shall be billed and measured according to a time-of-use rate schedule. In addition, the eligible fuel cell customer generator must be the owner or record on all such accounts to be eligible for aggregation service. N N

   As part of the Annual Reconciliation, net consumers and net producers will receive a bill for energy usage that totals 1) all generation charges; 2) all Eligible Generation Credits; and 3) all other charges, due in that billing cycle of the Relevant Period.

   The balance of all monies owed by net consumers and net producers shall be paid in accordance with the customer-generator's OAS. Production and consumption during the twelfth month is already considered in the true-up.

   For CCA, at the end of each relevant period, the CCA shall complete an annual true up of all charges and credits calculated monthly, consistent with the provisions set forth under this schedule. Credits and charges related to the CCA's generation services shall be based on the information provided by the CCA to the Utility. Any net balance related to generation charges that are collected from an eligible NEM CCA customer-generator will be paid annually by the Utility to the CCA as set forth in Rule 27, Section Q, which describes the payment and collection terms between the Utility and a CCA customer. Charges or credits resulting from a CCA's generation services shall not be co-mingled with charges or credits resulting from services provided by the Utility. L

(Continued)

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

SPECIAL CONDITIONS (continued) L

1. Definitions: (continued)

   g. Eligible Generation Credit: The Eligible Generation Credit for net consumers equals the lesser of 1) all net generation charges for the Relevant Period; or 2) the absolute value of all net generation credits for the Relevant Period.

      Pursuant to PU Code Section 2827(h)(3), once the true-up is completed at the end of the Relevant Period, any credit for excess energy (kWh) will be retained by the Utility and net producer will not be owed any compensation for this excess energy.

   h. Net Energy: The difference between the electricity (kWh) supplied by the Utility to the eligible fuel cell customer-generator, and the electricity (kWh) generated by the eligible fuel cell customer-generator and fed back into the Utility's Distribution System, measured over a given period.

   i. Generation Rate Component: The Generation Rate Component (under Schedule EECC or any other applicable generation related charge, which includes, but is not limited to optional commodity pricing that may be available) of the energy charge of the eligible fuel cell customer-generator's OAS.

2. Required Contract: An Interconnection Agreement is required for service under this schedule.

3. Metering:

   a. Fuel cell Net Energy Metering shall be accomplished using a TOU meter capable of separately registering the flow of electricity in two directions. If the eligible fuel cell customer-generator's existing meter is not capable of separately measuring the flow of electricity in two directions, the eligible fuel cell customer-generator shall be responsible for all expenses involved in purchasing and installing a meter that is able to separately measure electricity flow in two directions. If dual metering is installed, the Net Energy Metering calculation shall yield a result identical to that of a single meter capable of separately measuring the flow of electricity in two directions.

   b. If none of the normal metering options at the Utility's disposal that are necessary to render accurate billing are acceptable to the eligible fuel cell customer-generator, the Utility shall have the have the right to refuse interconnection under this rate schedule

   c. Multiple Tariff Facilities will be metered under one of the options described in Special Condition 7.

4. Billing: Eligible fuel cell customer-generators will be billed monthly for all charges other than the Generation Rate Component. With each monthly billing statement, the Utility shall provide the eligible fuel cell customer-generator with information regarding energy (kWh) consumption and energy (kWh) exported to the grid.

   The Utility shall start a customer on Schedule NEM effective with the first meter read date to the later of (1) customer notice to the Utility of a request for service on Schedule NEM-FC or (2) SDG&E's written authorization for parallel operation of the customer's eligible generating facility. L

(Continued)

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

SPECIAL CONDITIONS (continued)

4. Billing (continued)

At the end of each Relevant Period, as defined in Special Condition 1.d, following the Date of Final Interconnection, the Utility shall proceed as follows:

a. The Utility will complete an Annual Reconciliation pursuant Special Condition 1.f.

b. All applicable generation credit will be applied to the customer account with the eligible fuel cell electrical generation facility at the time of the Annual Reconciliation. This includes generation credit associated with any aggregated electrical load of the meters located on the property where the eligible fuel cell electrical generation facility is located, and on all property adjacent or contiguous to the property on which the facility is located.

c. Any remaining generation credit greater than the Eligible Generation Credit calculated pursuant to Special Condition 1.g will be reduced to zero and the eligible fuel cell customer-generator shall not be entitled to compensation for such credit, and a new Relevant Period shall commence.

Customer-generators with Multiple Tariff Facilities with existing NEM and/or NEM-FC eligible generators interconnecting additional generators, will receive a bill reconciliation prior to taking service under Special Condition 7. This ensures that all NEM accounts have the same Relevant Period going forward.

For customers eligible under Schedule GHG-ARR, volumetrically-based California (CA) Climate Credits will net when customers generate. Checks issued to NEM customers electing an off-bill payment for Net Surplus Compensation will incorporate any remaining CA Climate Credits.

5. Standby Charges: Consistent with electric Rate Schedule S, Standby Service, or S-I, Standby Service - Interruptible, to the extent that charges for transmission and distribution services are recovered through demand charges in any billing period, no standby charges shall apply in that monthly billing cycle except Multiple Tariff Facilities interconnected under the terms of Special Condition 7 may be subject to the requirements of Schedules S or SI.

6. Interconnection: Prior to Parallel Operation, the eligible fuel cell customer-generator must execute and comply with the applicable Utility Interconnection Agreement (Form 142-02762 or, for NEM / non-NEM Generating Facility export, Form 117-2160). The eligible fuel cell customer-generator shall meet all applicable safety and performance standards established by the National Electric Code, the Institute of Electrical and Electronics Engineers, and accredited testing laboratories such as Underwriters Laboratories and, where applicable, rules of the CPUC regarding safety and reliability. T

7. Multiple Tariff Facilities:

Multiple Tariff Facilities have the following additional provisions:

a. When Net Generation Output Metering (NGOM) is required, such NGOM must conform to the requirements set forth in Electric Rule 21, Section J.3.

b. An NEM-eligible Constituent Generator Group is defined as a group of generators that is eligible for service under the provisions of either schedule NEM or NEM-FC

(Continued)

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

SPECIAL CONDITIONS (continued) L

7. Multiple Tariff Facilities (continued)

c. A non-NEM-eligible Constituent Generator Group is defined as a group of generators that does not take service under the provisions of schedules NEM or NEM-FC, but interconnects under the provisions of Electric Rule 21.

d. ll metering for Multiple Tariff Facilities called for in this special condition must meet the requirements needed to bill under the customer's OAS. All metering equipment and Non Export Relays necessary to implement the provisions in this section will be provided at the customer's expense.

e. Billing Credits:

1) For customer-generators with one NEM-eligible Constituent Generator Group and one or more non-NEM-Eligible Generators without non-export relay, and energy (kWh) is exported to the grid at the PCC, the billing credit will be calculated for each billing period as follows:

a) NEM-eligible Export is the lesser of either all exported energy (kWh) as measured at the PCC or the NEM-eligible Constituent Generator Group's production as measured at the NGOM(s)

b) Multiply the NEM-eligible export determined in (a) above with the customer-generator's rate per OAS and applicable NEM schedule

2) For customer-generators with multiple NEM-eligible Constituent Generator Groups and with or without one or more non-Eligible Generator's without non-export relay, and energy (kWh) is exported to the grid at the PCC, the billing credit for each NEM-eligible Constituent Generator Group will be calculated for each billing period as follows:

a) Sum all NEM-eligible Constituent Generator Groups' production (kWh) as measured at the NGOMs.

b) Determine the proportion of energy production (kWh) attributable to each NEM-eligible Constitute Generator Group by dividing the NGOM reading of each by the sum from (a) above.

c) NEM-eligible Export for each NEM-eligible Constituent Generator Group is the lesser of either its proportion of attributable energy production determined in (b) above multiplied by the total exported energy (kWh) as measured at the PCC or its energy production (kWh) measured at its NGOM. L

(Continued)

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

SPECIAL CONDITIONS (continued) L

7. Multiple Tariff Facilities: (continued)

e. Billing Credits: (continued)

d) Multiply each NEM-eligible Constituent Generator Group's Export determined in (c) above by the customer-generator's rate per OAS and applicable NEM schedule.

If interval meters are used, this allocation of bill credit will be done on the aggregated intervals over a billing period. If the OAS is a time-of-use (TOU) rate schedule, the allocation will be performed for each aggregated TOU period separately.

3) Billing credit will be applied consistent with the appropriate NEM tariff as follows:

a) First, apply Generation Rate Component credits from NEM-FC generators (if any) as appropriate, to the remainder of generation component charges on the account served by the Generating Facility (Host Account).

b) Second, apply NEM Generating Facility credits to energy charges of the accounts served by the Generating Facility.

f. Multiple Tariff Facility Configurations and Metering.

1) For two or more of NEM-eligible Constituent Generator Groups and no non-NEM eligible Constituent Generator Groups, the customer-generator must install NGOM on each Constituent Generator Group. In addition, metering is required at the PCC.

2) For both, NEM-eligible and non-NEM-eligible Constituent Generator Groups, the customer must select one of the following options:

a) **Non Export Relay Option**: A customer-generator must install a Non-Export relay on their non-NEM Constituent Generator Groups and install metering as follows: 1) If there is only one type of NEM-eligible Constituent Generator Group then metering at the PCC is all that is required and the terms of the appropriate NEM tariff for that group shall apply; 2) If there are two or more types of NEM-eligible Constituent Generator Groups, then metering at the PCC and NGOM metering of each NEM-eligible Constituent Generator Group is required.

b) **NGOM Option**: The customer-generator must install NGOM on each NEM-eligible Constituent Generator Group and metering at the PCC.

For any of the above configurations, if the customer-generator has a Constituent Generator Group eligible for Schedule NEM for Renewable electrical generating facility, the customer-generator may elect to take service for such under either Schedule NEM or Schedule NEM-FC as appropriate to one of the other Constituent Generator Groups.

For the purpose of tariff administration, other metering configurations may be allowed at SDG&E's discretion. L

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

8. Emissions Standard Application

Pursuant to PU Code Section 2827.10, ARB will provide for a schedule of annual GHG standards updates. T D

a) Eligible Fuel Cell Electrical Generating Facilities Interconnected Before January 1, 2017

A customer that received permission to operate its generating facility from SDG&E under the this Schedule prior to January 1, 2017 can continue to receive service under this Schedule, and does not need to meet the GHG emission requirements as stated in Special Condition 10 of this tariff. T T D

b) Eligible Fuel Cell Electrical Generating Facilities Interconnecting on or after January 1, 2017 T D

A customer that received permission to operate its generating facility from SDG&E under the NEM-FC schedule on or after January 1, 2017, can continue to take service under NEM-FC, as long as it complies with the requirements set forth in Special Condition 10 of this tariff. N N N D

9. Temporary Applicability Limitation for NEM Aggregation Customers:

Until December 31, 2018, all customer accounts in a single Aggregated Arrangement where the customer elects to take service in combination with a TOU rate must be served on SDG&E's grandfathered TOU rate structure (i.e., a three-period structure with an on peak period of 11:00 a.m. to 6:00 p.m.).

(Continued)

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

10. GHG Emission Requirements Pursuant to D.23-11-068

The NEM-FC GHG emission standards developed by CARB became effective on October 26, 2020. CARB has developed standards for the years 2017 through 2025, that are shown on their site: https://ww2.arb.ca.gov/our-work/programs/fuel-cell-nem/emission-standards T T

Per the regulation, CARB will calculate annual GHG emission standards and publish them on the ARB website every three years until 2047. T

Fuel Cell Customer-Generators that received PTO on or after 1/1/2017 shall be subject to the following requirements.

Extension of Time to Comply: The February 1, 2025, and 60-day deadline referenced below to pay the annual documentation fee and submittal of required documentation and data for initial certification has been suspended due to CARB's anticipated review of the GHG emission standards. The new deadline will be eight months following a final decision issued by the CARB concerning updates to its Fuel Cell NEM Regulation. N N N N N

- **Initial Annual Certification:** Fuel Cell Customer-Generator must certify with SDG&E that the generator meets the current GHG emission standard no later than 02/01/2025. SDG&E will invoice the customer 30 days prior to the Initial Certification deadline. This fee will be non-refundable.
  Initial Certification Fee = $4,100

- **Annual Documentation Fee**: Fuel cell Customer-Generator is subject to annual documentation fee. SDG&E will invoice the customer in January of each year to collect the cost for their Annual Certification. This fee will be non-refundable.
  Annual Documentation Fee = $3,100

- **Contract Performance Data Provider (PDP):** For the purpose of NEMFC compliance, the Fuel Cell Customer-Generator must contract with a performance data provider for the duration the customer-generator takes service on the NEM-FC tariff. Performance data providers will be tasked with recording performance data from the installed metering and monitoring equipment and submitting it to SDG&E.

- **Initial Certification:**
  - All required data and documentation must be submitted on or before February 01, 2025. T
  - The Fuel Cell Customer-Generator must use performance test code ASME PTC 50-2002 or, as allowed under the circumstances described below, equipment specification sheets, to determine the first-year emission rate, which must then be adjusted by a model-specific performance degradation assumption to yield the system's emission rate in that year.
  - An exception is made for NEM-FC systems utilizing waste heat whose emission rate cannot feasibly be calculated using only test code ASME PTC 50-2002.
  - A Fuel Cell Customer-Generator with such a system may use equipment specification sheets to demonstrate the system's fuel input rate and net electrical power output; and for a CHP system, the useful heat rate, in the calculation of its emission rate. A customer-generator with a NEM-FC system utilizing waste heat must certify any waste heat usage included in the calculation of the emission rate.
  - The Fuel Cell Customer-Generator must submit documentation on the generator's projected annual degradation rate.

(Continued)

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

10. GHG Emission Requirements Pursuant to D.23-11-068 (Continued)

- **Annual Certification:**
  - Each year after the initial certification, before the anniversary of the NEM-FC interconnection agreement's execution date (PTO date), the Fuel Cell Customer-Generator must recertify compliance with the current year's GHG emission standard according to the procedures described in the then-current Self-Generation Incentive Program (SGIP) handbook. T
  - As part of the annual recertification, the Fuel Cell Customer-Generator or performance data provider must annually submit a **Minimum Operating Efficiency Worksheet,** a **Directed Renewable Fuel Verification Form**, and **monthly data**, **along with any necessary supporting documentation in the format required by SDG&E pursuant to applicable SGIP requirements**.

- **Documentation:**
  - **All data and documentation for recertification must be submitted annually at least 60 days before the anniversary of Customer's PTO date.**
  - The Fuel Cell Customer-Generator (or performance data provider, see below) must submit documentation on the fuel cell system's GHG emissions based on its real-time monitoring data, using metering and monitoring equipment that complies with SGIP handbook requirements and measures net electrical output from the system, fuel input metering into the system, for combined heat and power (CHP) technologies, and useful thermal energy delivered to the site from the CHP system.

- **Self-Generation Incentive Program (SGIP):** Applicable SGIP requirements must be followed, including that system owners must install and maintain metering and monitoring equipment at their own cost, all AC electric meters must be listed on the California Energy Commission's list of Eligible System Performance and Revenue Grade Meters, and it is the responsibility of the System Owners to contract with a performance data provider.

Optional Compliance Pathways: The next three sections propose methods for calculating the GHG emissions of fuel cell systems that use CHP; renewable fuels; and/or carbon capture, use, and storage (CCUS). The renewable fuel blending section also provides information on eligibility and reporting requirements for renewable fuels to qualify for use with the NEM-FC tariff.

A Fuel Cell Customer-Generator may use multiple pathways simultaneously to calculate their fuel cell system's effective GHG emission rate for the purpose of compliance with the NEM-FC GHG emission standards.

(Continued)

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

10. GHG Emission Requirements Pursuant to D.23-11-068 (Continued) N

1) Waste Heat Utilization: Fuel Cell Customer-Generators may account for NEM-FC systems' use of CHP in meeting the GHG emission standards. The GHG savings from waste heat recovery are calculated by dividing the annual waste heat recovered in MMBtu by 80 percent, which represents nominal boiler efficiency, and then multiplying by the 53.07 kg CO2e/MMBtu emission factor for the conversion of natural gas to CO2. The net GHG output of the generator is calculated by subtracting the GHG savings due to waste heat recovery from the gross GHG output. The GHG emission rate for the generator is found by dividing the net annual GHG emission by the annual electrical output of the generator in MWh.

2) Renewable Fuel blending:

- Fuel Cell Customer-Generators may account for NEM-FC systems' use of renewable fuels in meeting the GHG emission standards. The generator's effective emission rate may be decreased to account for NEM-FC eligible renewable fuel utilized. A Fuel Cell Customer-Generator or performance data provider shall calculate the carbon intensity of renewable fuel utilized using the simplified carbon intensity calculators of the current California Greenhouse Gases, Regulated Emissions and Energy Use in Transportation (GREET) model.

- All environmental attributes associated with renewable fuels used in a NEM-FC system, including Renewable Energy Credits, if any, must be obtained and exclusively owned and retained by the NEM-FC customer-generator.

- The Fuel Cell Customer-Generator must not sell, trade, or transfer any environmental attributes of the contracted fuel sources.

- **For directed renewable fuel**, the Fuel Cell Customer-Generator or performance provider must provide documentation of the renewable fuel seller's contractual obligation to provide all environmental attributes to the NEM-FC customer-generator, except if using renewable fuel purchased from a utility as allowed below.

- For directed renewable fuel, the renewable fuel must be injected into a common carrier pipeline system in alignment with the requirements in Pub. Util. Code § 651 (b)(3)(B) and the SGIP.

- The Fuel Cell Customer-Generator or performance data provider must provide SDG&E with monthly data on the amount of directed renewable fuel consumed on a monthly basis.

- The Fuel Cell Customer-Generator or performance data provider must provide the source, path, and destination of the renewable fuel. Data reporting will commence one month after directed renewable fuel use begins. N

(Continued)

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

10. GHG Emission Requirements Pursuant to D.23-11-068 (Continued) N

2) **Renewable Fuel blending:** (Continued)

- The Fuel Cell Customer-Generator or performance data provider must provide the following information and documentation to SDG&E on a monthly basis:

i) **Transportation Path and Energy Accounting**: The Fuel Cell Customer-Generator or performance data provider must upload invoices reporting the amount of renewable fuel that appears on the Directed Renewable Fuel Verification Form. Invoices and other supporting documentation must include:

a) Documentation from the source showing the amount of directed biogas moved into the pipeline. The documentation must identify any non-renewable gas added at the source.
b) Documentation from the gas transmission system showing:
   - Receipt of directed biogas from source, storage, or other pipelines;
   - Pipeline losses or fees paid in gas not carried over;
   - Positive or negative imbalances carried over; and
   - Delivery of directed biogas to either another pipeline, storage facility, or California utility receipt point.

ii) **Gas Fuel Consumption**: The Fuel Cell Customer-Generator or performance data provider must provide gas fuel consumption documentation from SDG&E matching the directed renewable fuel receipts reporting the metered total energy input to the generator. The Fuel Cell Customer-Generator or performance data provider must report SDG&E gas fuel consumption receipts on a monthly basis. It is the responsibility of the Fuel Cell Customer-Generator or performance data provider to supply the renewable fuel cell documentation and to ensure that the renewable fuel is reported to SDG&E on a monthly basis.

Alternatively, a bundled core Fuel Cell Customer-Generator can demonstrate compliance through use of eligible utility-supplied renewable natural gas (RNG) supplied to all bundled core gas customers and/or through participation in a voluntary tariff program that allows the customer-generator to offset fossil natural gas consumption with RNG through a special billing arrangement. Utility-supplied RNG will be considered eligible for GHG emissions reductions in NEM-FC if it complies with all requirements in Pub. Util. Code § 651 (b)(3)(B) and the SGIP, but the environmental attributes of this RNG will remain with the utility. N

(Continued)

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

10. GHG Emission Requirements Pursuant to D.23-11-068 (Continued) N

2) **Renewable Fuel blending:** (Continued)

- **For onsite renewable fuel**, which includes fuel delivered to the generating facility through a dedicated pipeline, all Fuel Cell Customer-Generators must install a fuel metering system that reports use of both renewable and non-renewable fuel.
- The Fuel Cell Customer-Generator must provide SDG&E with the make, model, specifications, and serial numbers of installed revenue grade gas meters.
- The Fuel Cell Customer-Generator must contract with a performance data provider, and the performance data provider must submit both renewable and non-renewable fuel data to SDG&E on a monthly basis. NEM-FC systems using onsite renewable fuels must comply with any applicable requirements of Pub. Util. Code § 651 (b)(3)(B) and the SGIP for directed renewable fuel.

3) **Carbon Capture, Use, and Storage (CCUS):** CCUS is not currently allowed for compliance with the NEM-FC GHG emission standards. A Fuel Cell Customer-Generator may notify SDG&E if desiring to perform CCUS in compliance with ARB's carbon capture and storage protocol. Then, within 12 months of such notice, SDG&E shall submit an advice letter to the CPUC proposing rules for the use of CCUS in NEM-FC GHG emissions calculations.

Verification and Penalties

SDG&E will use the Minimum Operating Efficiency Worksheet, Directed Renewable Fuel Verification Form, supporting documentation, and monthly data to evaluate a generator's technical ability to meet the NEM-FC GHG emission standards. Also, SDG&E will conduct an annual audit of the renewable fuel invoices for the life of any renewable fuel contract to verify renewable fuel consumption. Finally, SDG&E may reserve the right to conduct field inspections to verify compliance with the standard.

Following any SDG&E discovery of a lack of system compliance with either the NEM-FC GHG emission standards, SDG&E will allow a six-month window in which to come into compliance. If the customer-generator fails to bring the NEM-FC system into compliance within six months, the interconnection agreement will be terminated and the system will be served under a Rule 21 non-export agreement or another agreement for which the NEM-FC system is eligible. The Customer will not be able to regain access to the NEM-FC tariff.

SDG&E will conduct random no-warning spot-checks of directed renewable fuel sources and 30-day warnings in the case of noncompliance with the requirements described above. If NEM-FC compliance does not occur within 30 days, and if recalculation of the fuel cell system's greenhouse gas emissions without the purported renewable fuel results in the system emitting more than ARB's GHG emission standards, the interconnection agreement will be terminated and the system will be served under a Rule 21 non-export agreement or another agreement for which the NEM-FC system is eligible. The Customer will not be able to regain access to the NEM-FC tariff.

N

SCHEDULE NEM-FC

NET ENERGY METERING FOR FUEL CELL CUSTOMER-GENERATORS

SPECIAL CONDITIONS (continued)

11. Plug-in Electric Vehicle (PEV) Submetering

Per Decision 22-08-024, customers participating in PEV Submetering, where electricity is furnished for PEV charging, are not eligible for Schedule NEM-FC.

N
N